LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is SBLC Discounting ?

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Module 1: Theoretical Foundations and Product Philosophy

Standby Letter of Credit (SBLC) Discounting represents one of the most advanced, transaction-backed working capital optimization structures in international and domestic trade finance. At its core, an SBLC is a secondary payment mechanism — an undertaking issued by a bank (the Issuing Bank) on behalf of its client (the Applicant) to pay the seller (the Beneficiary) in the event that the applicant fails to perform under their underlying contract. Unlike a traditional Commercial Letter of Credit (LC), which acts as a primary settlement instrument meant to be drawn upon under normal circumstances, an SBLC is designed to remain in the background as an active credit wrap, intended for invocation only in the event of buyer default.

Under an SBLC Discounting structure, the financier (usually the discounting bank) monetizes the trade receivables of the seller by relying on the sovereign or high-grade institutional credit rating of the SBLC's Issuing Bank. This structure completely shifts the underwriting focus from the local corporate's asset-heavy balance sheet to the transactional security provided by the irrevocable bank undertaking. By discounting bills of exchange or certified invoices backed by an active SBLC, exporters and domestic suppliers can secure immediate capital at rates aligned with interbank pricing rather than expensive commercial loans.

Historically, the Indian trade credit market relied heavily on Letters of Undertaking (LoUs) and Letters of Comfort (LoCs) for trade facilitation. However, following the systemic fraudulent exploit of un-CBS-linked SWIFT MT799 messages in March 2018, the Reserve Bank of India (RBI) implemented a landmark ban on all LoUs and LoCs. This regulatory intervention triggered an immediate evolution in the trade credit landscape, forcing corporate treasurers and public-sector lenders to shift strictly to robust, fully underwritten, CBS-integrated structures like Usance LCs, Bank Guarantees, and Standby Letters of Credit (SBLC) governed under the International Standby Practices (ISP98).

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Module 2: Structural Comparative Taxonomy

To clearly differentiate SBLC Discounting from other common trade credit instruments, financial institutions maintain a strict comparative taxonomy. Unlike traditional bilateral credit lines, which are heavily constrained by local security charges and restrictive drawing power calculations, SBLC-backed funding provides modular, liquid, and non-recourse off-balance sheet structures.

Parameter	SBLC Discounting	Commercial LC Discounting	Bank Guarantee (BG) Discounting	Bilateral Factoring
Primary Basis	Standby credit wrap (Secondary payout mechanism)	Primary settlement (Direct presentation drawing)	Performance or Financial default guarantee	Commercial invoice assignment
Underwriting Focus	Issuing Bank Credit Rating (UCP 600 / ISP98)	Issuing Bank Credit Rating (UCP 600)	Guarantor Bank Credit Rating (Section 126)	Buyer commercial credit score
Governing Rules	ISP98 (International Standby) or UCP 600	UCP 600 strictly	URDG 758 or domestic Contract Act	Factoring Regulation Act, 2011
Standard Recourse	Non-Recourse to Beneficiary once compliant	Non-Recourse once accepted by Issuing Bank	Typically non-recourse once bank confirms	Recourse or Non-recourse (disclosed)

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Module 3: The End-to-End Operational Lifecycle

The operational lifecycle of SBLC Discounting is meticulously designed to eliminate commercial settlement risk and ensure continuous working capital flows. The transaction structure operates through a synchronized 11-step chronological pipeline, bridging commercial supply contracts with secure interbank clearing systems:

1. Commercial Agreement: The seller and buyer execute a supply contract specifying payment terms (e.g., 90 or 120 days usance) backed by an irrevocable Standby Letter of Credit as security.

2. SBLC Application: The buyer requests their bank (the Issuing Bank) to issue an SBLC governed by ISP98 or UCP 600 rules in favor of the seller as Beneficiary.

3. Interbank Transmission: The Issuing Bank transmits the SBLC electronically via the secure SWIFT MT760 message format directly to the seller's bank (the Advising/Confirming Bank).

4. Advising & Confirmation: The Advising Bank validates the cryptographic signature of the MT760, attaches its confirmation if requested (SWIFT MT710), and delivers the original SBLC to the seller.

5. Consignment Shipment: The seller manufactures and dispatches the goods, compiling standard commercial documents (Bills of Lading, invoices, packing lists, assay certificates).

6. E-Way Bill & E-Invoice Generation: The seller uploads the invoice details to the government's GSTN portal, generating a mandatory cryptographic IRN (Invoice Reference Number) and active E-Way Bill.

7. Complying Document Presentation: The seller submits the commercial shipping documents, bills of exchange, and a copy of the SBLC to the confirming/discounting bank for audit.

8. Strict Bank Audit: The discounting bank conducts a comprehensive audit under the 'Doctrine of Strict Compliance' within the strict 5-banking-day window mandated by UCP 600/ISP98, identifying and resolving any document discrepancies.

9. Receivables Discounting: Upon verifying complying presentation, the discounting bank executes a net upfront payout of the invoice value (minus margin reserves and interest charges) directly to the seller's account.

10. Maturity Collection: At the end of the usance tenure, the discounting bank presents the collection documents directly to the buyer for payment. If the buyer pays, the outstanding debt is liquidated, and the margin reserve is released.

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11. SBLC Drawing (Upon Default): If the buyer fails to pay on usance maturity, the discounting bank invokes the SBLC by presenting a written statement of default alongside copy invoices directly to the Issuing Bank. The Issuing Bank is legally bound to pay the full invoice amount within 3-5 banking days under SWIFT MT754.

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Module 4: Transactional Credit Underwriting Standards

Underwriting an SBLC Discounting facility represents a fundamental paradigm shift from traditional asset-heavy commercial credit appraisals. While classic banking loans require extensive audits of the borrower's local real estate, machinery, and static debt-equity ratios, SBLC-backed funding focuses on outward-looking, transaction-backed credit analytics.

Key credit risk parameters assessed by underwriting committees include:
1. Promoter Personal CIBIL Score: Must be greater than 700 to establish basic character and management integrity.
2. CIBIL MSME Rank (CMR): Targeted at CMR 1 to CMR 4 to confirm historical repayment discipline.
3. Financial Ratios: Current ratio target of 1.33:1 (Tandon Second Method of Lending) and an Interest Coverage Ratio exceeding 2.0x, alongside Short-Term DSCR > 1.25x.
4. Invoice Dilution Rate: Underwriters calculate the historical percentage of trade credits diluted by commercial discounts, product damages, and return rates. A safety multiplier is applied to this rate to establish the optimal retention/margin reserve (typically 10% to 15%) to protect the advanced principal.
5. Issuing Bank Credit Appraisal: The ultimate credit risk is borne by the SBLC's Issuing Bank. Underwriters evaluate the bank's international credit ratings (Fitch/Moody's investment grade), Basel III Capital Adequacy Ratio (CAR > 12.0%), Net NPA percentage (< 2.0%), and institutional solvency, alongside ECGC Country Risk Classifications (A1 to D).

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Module 5: Legal Framework and Regulatory Compliance

SBLC Discounting is supported by a robust, multi-layered legal framework under Indian statutory and international banking customs. These legal pillars establish absolute seniority, transferability, and enforcement rights for the discounting financier:

1. Section 126 of the Indian Contract Act, 1872: Defines the legal contract of guarantee. It establishes that the liability of the surety (the Issuing Bank) is co-extensive with that of the principal debtor (the applicant buyer), rendering the bank's payment obligation absolute and unconditional upon default presentation.
2. Section 130 of the Transfer of Property Act, 1882: Governs the statutory assignment of trade receivables (book debts) as 'actionable claims'. The seller executes a formal, stamped deed of assignment transferring all rights, title, and interest in the receivables directly to the discounting financier.
3. Notice of Assignment (NoA): Stamped on every discounted invoice, contractually establishing that payment to any party other than the designated financier's escrow account does not constitute a valid legal discharge of the debt.
4. CERSAI Registration: Under the Factoring Regulation Act, 2011 (with the 2021 Amendments), the discounting bank must register the assignment of receivables on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal within the strict 10-day statutory window. This registration establishes absolute legal seniority and eliminates the risk of duplicate invoice pledging.
5. ISP98 & UCP 600 Compliance: Governed by the International Chamber of Commerce (ICC). These rules establish that the bank's undertaking to pay is completely independent of the underlying commercial supply contract, protecting the financier from any trade-level quality disputes.

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Module 6: Sectoral Sizing and Market Alignment

SBLC Discounting is highly effective in capital-intensive, high-growth sectors characterized by extended procurement and manufacturing cycles. In India, key aligned sectors include the Automotive Components industry, heavy metal fabrication (Steel and Aluminum), Chemicals, and Consumer Electronics operating under the government's Electronic Vision 2030 Production Linked Incentive (PLI) framework.

Citing active commercial trade credit data in India, Retail and Wholesale Traders represent the single largest segment of active working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. Lenders rely heavily on automated, digitized supply chain portals to manage these vast portfolios. For instance, the State Bank of India (SBI) drives massive market presence with its specialized Electronic Dealer Financing Scheme (e-DFS) representing over ₹49,261 Crores in active exposure, and the electronic Vendor Financing Scheme (e-VFS) operating at over ₹28,092 Crores.

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Module 7: Commercial Pricing Mechanics

The pricing models for SBLC Discounting are built on transparent, risk-free market rates linked to interbank benchmarks. For domestic transactions, pricing is anchored to the State Bank of India's External Benchmark Lending Rate (EBLR) or Marginal Cost of Funds Based Lending Rate (MCLR). For international cross-border trades, pricing is linked directly to the Term Secured Overnight Financing Rate (Term SOFR), which replaced the legacy London Interbank Offered Rate (LIBOR) on June 30, 2023.

The All-In-Cost (AIC) pricing model is subject to strict regulatory ceilings mandated by the Reserve Bank of India, capped at a maximum spread of Benchmark + 250 bps. Upfront processing fees (typically 0.10% to 0.50%) and collateral management fees are subject to a standard 18% GST rate. However, under Section 36(1)(iii) of the Income Tax Act, 1961, the core interest component is completely GST-exempt and provides an active Interest Tax Shield that reduces the company's net post-tax borrowing cost by its effective corporate tax rate.

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Module 8: Regulatory Compliance & Overdue Crystallization

Financing institutions in India must operate in strict compliance with the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines. Under these rules, trade accounts are flagged immediately upon default across Special Mention Account (SMA-0/1/2) tiers, and automatically classified as Non-Performing Assets (NPAs) if the overdue balance remains unpaid for 90 consecutive days. Furthermore, under technical default rules, an account is classified as an NPA if stock statements are delayed past 180 days or if formal loan renewals are not processed within 180 days of facility expiry.

Under the Foreign Exchange Management Act (FEMA), 1999, exporters are required to realize and repatriate all export proceeds within 9 months from the shipment date. However, to buffer Indian enterprises against ongoing global maritime disruptions, the RBI's landmark 2025 Trade Relief Directions extended standard credit usance limits up to 450 days and relaxed the maximum repatriation window up to 15 months. All cross-border transactions are digitally tracked via the RBI's IDPMS and EDPMS portals, and upon final repatriation, the bank automatically issues an electronic Bank Realisation Certificate (eBRC) to reconcile the custom shipping bill.

Under FEDAI crystallization rules, if a foreign currency trade obligation remains unpaid, the bank must automatically crystallize the outstanding liability into an active domestic Rupee demand loan on the 30th day from usance maturity. This conversion is executed at the bank's ruling adverse TT Selling Rate plus a penal spread, shifting the currency fluctuation risk back to the borrower.

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Module 9: Comprehensive Real-World Case Study

To illustrate the precise operational and mathematical mechanics of SBLC Discounting, we analyze a real-world transaction involving a Mumbai-based defense systems manufacturer, Vibrant Infrastructure Supplies Pvt. Ltd. (VISPL), with an active corporate tax rate of 25.17%.

Transaction Scenario:
- Exporter: Vibrant Infrastructure Supplies Pvt. Ltd. (VISPL)
- Overseas Buyer: Munich Defense Engineering Gmbh (Munich, Germany)
- Underlying Consignment: Tactical communications gear worth USD 600,000
- Payment Terms: 120-Day Usance post-shipment, backed by an irrevocable SBLC governed by ISP98
- SBLC Issuing Bank: Euro-Deutsche Bank (Munich, Rating: AAA)
- Discounting Bank: State Bank of India (SBI, Commercial Branch, Mumbai)
- Forward Exchange Contract: VISPL locks in a Day 120 forward exchange rate of ₹84.50 / USD (Day 1 Spot: ₹84.00)
- Financing Structure: SBI sanctions a 90% advance rate (USD 540,000) under the SBLC wrap, holding a 10% margin reserve (USD 60,000)

Commercial Pricing Breakdown:
- 120-Day Term SOFR Benchmark (Day 1): 4.80% p.a.
- SBI Underwriting & Risk Spread: 2.20% p.a.
- Annualized Discounting Rate: 7.00% p.a. (GST-exempt, well within the RBI AIC ceiling of SOFR + 250 bps)
- Upfront SBI Processing Fee: 0.15% on advanced principal, subject to 18% GST

Financial Parameter	USD Value ($)	INR Equivalent (₹)
1. Consignment Gross Invoice Value	USD 600,000.00	₹5,04,00,000.00
2. SBI Advanced Principal (90% Advance)	USD 540,000.00	₹4,53,60,000.00
3. Required Margin/Retention Reserve (10%)	USD 60,000.00	₹50,40,000.00
4. 120-Day Bank Interest Expense (7.00% p.a.)	USD 12,427.40	₹10,50,115.07

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5. Upfront SBI Processing Fee (0.15% on Advance)	USD 810.00	₹68,040.00
6. GST on Processing Fee (18% applied to fee)	USD 145.80	₹12,247.20
7. Net Upfront Cash Disbursed to Exporter's Account	USD 526,616.80	₹4,42,29,597.73

Corporate Tax Shield Analysis:
Under Section 36(1)(iii) of the Income Tax Act, 1961, VISPL claims its core interest expense against its corporate tax liabilities. The pre-tax interest expense of ₹10,50,115.07 yields a direct corporate tax shield of ₹2,64,313.96 (calculated as ₹10,50,115.07 × 25.17% tax rate). This tax shield effectively reduces the net post-tax interest cost to ₹7,85,801.11, bringing the effective annualized borrowing rate down to a highly competitive 5.24% p.a. post-tax!

Default & Invocation Outcome:
On Day 120, Munich Defense Engineering Gmbh declares sudden corporate insolvency due to a German sovereign procurement freeze, failing to pay the usance dues. Under standard bilateral credit, VISPL would face immediate recourse, resulting in a devastating bank sweep of ₹4.53 Crores from its operational current account. However, because the transaction was wrapped under an irrevocable SBLC, SBI executes a complying presentation of the default certificate directly to Euro-Deutsche Bank. Under ISP98/UCP600 legal guidelines, Euro-Deutsche Bank is bound to pay the full USD 600,000 within 3 banking days. On Day 123, Euro-Deutsche Bank remits the full funds, fully liquidating SBI's advanced principal and releasing the ₹50.40 Lakh margin reserve to VISPL. VISPL suffers zero losses, fully insulated from the foreign buyer's bankruptcy.

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Module 10: 10-Question Professional Certification Examination

This examination is designed to test and validate trade finance credit officers and corporate treasury trainees on SBLC Discounting operations, statutory laws, and financial calculations. Detailed answers and analytical rationales follow each question.

Question 1: What is the primary difference in the operational purpose of a Standby Letter of Credit (SBLC) compared to a traditional Commercial Letter of Credit (LC)?

A) An SBLC is used strictly for domestic inland trade, while a commercial LC is used only for international cross-border trade.

B) An SBLC acts as a primary settlement instrument meant to be drawn upon under normal contract performance, while a commercial LC is a secondary security wrap intended for drawing only upon default.

C) An SBLC acts as a secondary payment mechanism designed as a credit wrap that is drawn upon only in the event of default, while a commercial LC is a primary payment settlement instrument.

D) Commercial LCs are governed by ISP98 rules, while SBLCs are governed strictly by domestic municipal laws.

★ *Correct Option: C.*

★ *Rationale & Analysis:*
An SBLC serves as a backup or secondary payment undertaking, meant to remain in the background and only invoked if the applicant defaults. In contrast, a Commercial LC is the primary payment mechanism designed to facilitate direct settlement of the underlying transaction.

Question 2: In March 2018, the Reserve Bank of India (RBI) implemented a major ban that structurally restructured the trade finance landscape. Which instruments were banned, and what was the primary systemic reason?

A) Trade Credit Insurance; banned due to high default rates in agricultural commodities.

B) Letters of Undertaking (LoUs) and Letters of Comfort (LoCs); banned because they were being issued without CBS-linkage, leading to systemic SWIFT MT799/MT730 security fraud.

C) Usance Payable at Sight (UPAS) LCs; banned due to high foreign exchange volatility.

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D) Non-Recourse Export Factoring; banned because it bypassed CERSAI registration requirements.

★ *Correct Option: B.*

★ *Rationale & Analysis:*
The RBI banned LoUs and LoCs in March 2018 following the monumental PNB fraud, where fraudulent SWIFT messages were transmitted without integration with the core banking system (CBS), creating unmonitored liabilities.

Question 3: Under Section 130 of the Transfer of Property Act, 1882, how are trade receivables legally assigned during a discounting or factoring transaction?

A) Assigned as 'tangible movable assets' requiring physical delivery of goods to the bank's lockbox.

B) Assigned as 'actionable claims' via a signed and stamped written deed of assignment, transferring all legal rights, titles, and interests to the financier.

C) Hypothecated as general floating charges requiring NOCs from the MCA within a 60-day window.

D) Registered strictly as personal guarantees of the promoter under the Indian Contract Act.

★ *Correct Option: B.*

★ *Rationale & Analysis:*
Trade receivables are classified as 'actionable claims' under Indian law. Section 130 of the Transfer of Property Act mandates that their assignment must be executed in writing through a stamped deed of assignment to establish a clear transfer of ownership to the financier.

Question 4: To establish absolute legal seniority over assigned book debts and prevent fraudulent duplicate invoice pledging, within what statutory timeframe must a bank register factoring charges with CERSAI?

A) Within 30 days of invoice creation under the Companies Act.

B) Within 10 days of the date of assignment of receivables under the Factoring Regulation Act.

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C) Within 180 days from the date of usance maturity under the RBI IRACP guidelines.

D) TReDS and SBLC transactions are completely exempt from CERSAI registration.

★ *Correct Option: B.*

★ *Rationale & Analysis:*
The Factoring Regulation Act, 2011 (amended in 2021) mandates that every factoring or assignment of receivables charge must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within a strict 10-day window to secure legal seniority.

Question 5: Under ICC UCP 600 and ISP98 rules, once a bank receives shipping documents under an SBLC, what is the maximum number of banking days permitted to audit the documents and determine compliant presentation?

A) 3 Banking Days.

B) 5 Banking Days.

C) 7 Banking Days.

D) 10 Banking Days.

★ *Correct Option: B.*

★ *Rationale & Analysis:*
Both UCP 600 (Article 14b) and ISP98 establish a strict maximum limit of five banking days following the day of presentation to examine documents and declare whether they comply or are discrepant.

Question 6: Citing commercial credit statistics in India, which borrower segment represents the largest portion of active working capital borrowers, and what is their market share?

A) Heavy Infrastructure Conglomerates; representing 52% of active commercial credit portfolios.

B) Retail and Wholesale Traders; representing 44% of total active working capital borrowers in the ₹10 Lakh to ₹2 Crore segment.

C) Automobile OEMs and Ancillaries; representing 35% of export credit lines.

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D) Agro-commodity Exporters; representing 60% of pledge-backed funding.

★ *Correct Option: B.*

★ *Rationale & Analysis:*
Citing commercial data, Retail and Wholesale Traders constitute the largest borrowing group, representing 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure range, indicating a massive market need for transaction-backed trade finance.

Question 7: How are the interest components and bank service fees treated for Goods and Services Tax (GST) purposes during an SBLC Discounting transaction under Indian tax guidelines?

A) A flat GST of 18% is applied to the entire disbursed principal.

B) Upfront processing and administrative fees attract a standard 18% GST (ITC recoverable), while the core interest/discounting charges are completely exempt from GST.

C) Both interest and service fees are 100% exempt from GST under export-incentive guidelines.

D) Interest is subject to a concessional 5% GST, while processing fees attract a flat 12% GST.

★ *Correct Option: B.*

★ *Rationale & Analysis:*
Under Indian GST rules, core interest and discounting charges are classified as financial intermediation services and are completely exempt from GST. However, any administrative service charges, such as processing and arrangement fees, attract the standard 18% GST.

Question 8: Under the Foreign Exchange Management Act (FEMA), 1999, what is the standard statutory timeline to realize and repatriate export proceeds to India, and how did the RBI 2025 Trade Relief Directions modify this to buffer exporters from maritime supply chain bottlenecks?

A) Standard timeline is 180 days, extended to 365 days with zero usance relief.

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B) Standard timeline is 9 months, with the 2025 Directions extending the usance tenure limit up to 450 days and relaxing the repatriation window up to 15 months.

C) Standard timeline is 12 months, reduced to 6 months to accelerate foreign reserves accumulation.

D) Exporters have unlimited time to repatriate funds as long as they register with the EDPMS portal.

★ *Correct Option: B.*

★ *Rationale & Analysis:*
FEMA mandates a standard 9-month realization period. To counter global logistics and maritime disruptions, the RBI's landmark 2025 Trade Relief Directions provided significant relief by extending usance limits to 450 days and expanding the repatriation timeline to 15 months.

Question 9: Under FEDAI rules, if a foreign currency trade bill is not paid on its usance maturity, on which day must the discounting bank execute automatic overdue crystallization, and at what exchange rate?

A) On the 10th overdue day at the spot buying rate.

B) On the 30th day from usance maturity at the bank's ruling adverse Telegraphic Transfer (TT) Selling Rate plus a penal spread.

C) On the 90th overdue day at the RBI reference rate.

D) On the 180th day at the historic forward exchange contract rate.

★ *Correct Option: B.*

★ *Rationale & Analysis:*
FEDAI guidelines mandate that domestic banks must automatically crystallize unpaid foreign currency export/import bills on the 30th day following usance maturity. This converts the foreign currency debt into a Rupee liability at the ruling TT Selling Rate plus the bank's penal spread.

Question 10: Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) norms, what constitutes a technical default that triggers an automatic NPA classification, even if the borrower's payments are up to date?

A) If the promoter's personal CIBIL score drops below 650.

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B) If stock statements are delayed past 180 days or if formal loan renewals are not processed within 180 days of the facility's expiry date.

C) If the borrower fails to route at least 50% of their annual turnover through SBI's e-DFS portal.

D) If the company's Debt Service Coverage Ratio (DSCR) drops below 1.10x.

★ *Correct Option: B.*

★ *Rationale & Analysis:*
Under RBI IRACP rules, technical defaults are strictly enforced to prevent lazy risk monitoring. Regardless of payment status, a facility is classified as an NPA if the bank does not receive stock statements for over 180 days or if a temporary limit is not renewed/regularized within 180 days of its scheduled expiry.

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